**PRESS RELEASE**

- **H1 2019 reported revenue Kes 1,255M**
- **Gross Profit reached 399M, with gross margin at 32%**
- **EBITDA was 68.9M, 5.5% over sales and a decrease of -39% vs. LY**

**23rd August 2019**, **Nairobi** – Flame TREE Group Holdings (FTGH: NSE) the diversified manufacturer and distributor of plastic tanks, cosmetics, snacks, spices and playground equipment is pleased to announce its financial performance for HY2019.

The group reported revenue in H1 2019 of Kes 1,255M and gross profit reached 399M, with gross margin at 32% all in line with previous year.

## By Business line

**Plastics:** Sales in plastics was up by +13%, reporting a Gross Profit of 293.5 MM (+8% vs. LY), showing a slight reduction in margin by 1.4 p.p. which is mainly due to the negative impact of the business situation in Ethiopia and Mozambique. The division also posted a sharp increase in Selling & Distribution costs (+27% and +30MM vs. LY), mainly linked to transport costs and sales teams.

**Snacks**: Sales was down -15% vs. LY. Total Gross Profit was also down to 16MM (-32% vs. LY) caused by the drought experienced in the country resulting in scarcity of potatoes and price increases. This affected both production and margins.

**Cosmetics**: Reported a positive growth in sales +11% vs. LY. Despite the higher cost of sales due to 16MM paid in demurrage charges, gross profit moved up by 9% vs. LY. Margin for last 2 months improved and was above 30%. The division also reported an increase in distribution expenses and higher cost of transport. EBT remained the same level as LY, and EBITDA improved 4%. We have undertaken strong investments in marketing with advertising campaigns in mainstream and online media platforms, we have opened a new SuzieBeauty store in Sarit Center and launched a new product range in ZOE lotions which will have a positive impact on revenue in the second half of the year.

## Highlights H1

The group has made significant improvements in **production, staff & logistics** and **marketing**:

- Inauguration of new factory in Ethiopia, now fully operative.
- New store of Suzie Beauty in Sarit Center.

- Distribution of cosmetics in Mozambique and considerable increase in exports to Rwanda.
- Several new machines: blancher and oil filter in Chirag, PET machine & compressor and second injection moulding machine in Jojo, new HDPE pipe machine in Rwanda to meet demand of projects in agriculture, homogenizer machine in Flame Tree Africa.
- Additional investment in 9 trucks to reduce logistic costs in Kenya
- New media promotion with Bahati as Brand Ambassador for ZOE Men's range, several promos and marketing actions like launch of 5 new products on the Churchill Show - Laugh Festival including our Zoe fragrance lotions & Men's Shampoo, merchandising actions and focus on product value.
- Launch of new Chigs Corn Crunch range in the snacks line.
- Revaluation of assets made by an independent company brought 216,2 million KES of additional value to the Trial Balance.

According to Mr. Heril Bangera, CEO Flame Tree Group, "We have seen a very positive trend in the last 2 months both in sales and margin. Traditionally the second half of the year shows better performance than H1, and we are still targeting to push for final net growth in Sales and Profit vs LY."

For a copy of Flame Tree Group's financial statements please visit www.flametreegroup.com

**About Flame Tree Group**

Flame Tree Group is listed under the Growth and Enterprise Market Segment (GEMS) on the Nairobi Securities Exchange (NSE) as NSE: FTGH. Flame Tree Group is a world-class corporation in the heart of Africa that manufactures and distributes quality and affordable brands. Its strategy is to build a diversified portfolio of African-manufactured brands for African consumers, covering plastics, cosmetics and food in multiple markets and verticals.

The Group has operations in Kenya, Rwanda, Ethiopia, Mauritius, Mozambique and UAE. The company was founded in 1989 and now employs over 1,000 people, who are focused on delivering quality, value and innovation to improve customer's lives.

**For media enquiries please contact:**

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**CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME**

| | 6 months to 30 June 2019 Shs | 12 months to 31 December 2018 Shs | 6 months to 30 June 2018 Shs |
|---|---|---|---|
| Revenue | 1,254,949,910 | 2,488,610,130 | 1,265,671,964 |
| Cost of sales | (856,151,845) | (1,727,327,066) | (861,833,396) |
| **Gross profit** | **398,798,065** | **761,283,064** | **403,838,568** |
| Other operating income | 2,834,978 | 15,164,548 | 4,894,212 |
| Selling and distribution costs | (207,681,819) | (314,158,975) | (182,639,627) |
| Administrative expenses | (115,658,006) | (295,652,238) | (116,695,930) |
| Other operating expenses | (32,688,054) | (60,856,701) | (19,933,230) |
| **Operating profit before gain on disposal of property, plant and equipment** | **45,605,164** | **105,779,698** | **89,463,993** |
| (Loss)/gain on disposal of property, plant and equipment | - | 1,539,014.00 | - |
| **Operating profit after gain on disposal of property, plant and equipment** | **45,605,164** | **107,318,712** | **89,463,993** |
| Finance costs | (36,011,003) | (65,171,401) | (34,613,987) |
| **Profit before tax** | 9,594,161 | 42,147,311 | 54,850,006 |
| Tax | - | (8,362,243) | (14,932,944) |
| **Profit for the period/year** | **9,594,161** | **33,785,068** | **39,917,062** |
| **Other comprehensive income:** | | | |
| - Exchange differences on translation of foreign operations | (9,463,277) | (12,847,892) | (20,585,804) |
| - Gain on revaluation | 308,984,276 | 202,755,759 | - |
| - Deferred tax on revaluation gain | (92,695,283) | (60,826,728) | - |
| | 206,825,716 | 129,081,139 | (20,585,804) |
| **Total comprehensive income for the year** | 216,419,877 | 162,866,207 | 19,331,258 |
| Earnings per share - profit for the period/year | 0.05 | 0.19 | 0.22 |
| Earnings per share - total comprehensive income for the period/year | 0.05 | 0.91 | 0.11 |

| | - | - | |
|---|---|---|---|

**CONSOLIDATED STATEMENT OF FINANCIAL POSITION**

| | 30 June 2019 Shs | 31 December 2018 Shs | 30 June 2018 Shs |
|---|---|---|---|
| **Equity** | | | |
| Share capital | 146,894,092 | 146,894,092 | 146,894,092 |
| Share premium | 152,450,453 | 152,450,453 | 152,450,453 |
| Legal reserves | 4,115,542 | 3,665,461 | 3,665,461 |
| Revaluation reserve | 358,218,023 | 141,929,031 | - |
| Retained earnings | 429,161,442 | 372,238,093 | 459,662,042 |
| Translation reserve | (1,020,003) | (4,142,696) | (11,880,608) |
| **Shareholders' funds** | 1,089,819,549 | 813,034,434 | 750,791,440 |
| **Non-current liabilities** | | | |
| Deferred tax | 4,727,651 | - | - |
| Borrowings | 257,883,554 | 35,334,216 | 102,892,182 |
| | 262,611,205 | - | - |
| | 1,352,430,754 | 848,368,650 | 853,683,622 |
| **Non-current assets** | | | |
| Deferred tax | - | 21,678,721 | 54,800,734 |
| Property, plant and equipment | 958,412,197 | 529,073,508 | 330,385,092 |
| Goodwill on consolidation | 71,851,809 | 71,851,809 | 71,851,809 |
| Intangible assets | 83,516,629 | 83,516,629 | 83,582,776 |
| | 1,113,780,635 | 706,120,667 | 540,620,411 |
| **Current assets** | | | |
| Inventories | 283,341,536 | 338,906,948 | 243,419,781 |
| Trade and other receivables | 574,876,421 | 735,813,098 | 892,082,424 |
| Cash and cash equivalents | 54,276,708 | 58,431,055 | 82,458,686 |
| | 912,494,665 | 1,133,151,101 | 1,217,960,891 |
| **Current liabilities** | | | |
| Borrowings | 160,967,763 | 387,961,692 | 372,220,346 |
| Trade and other payables | 512,876,783 | 596,249,416 | 517,764,198 |
| Current tax | - | 6,692,010 | 14,913,136 |
| | 673,844,546 | 990,903,118 | 904,897,680 |
| **Net current assets** | 238,650,119 | 142,247,983 | 313,063,211 |
| | 1,352,430,754 | 848,368,650 | 853,683,622 |

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## CONSOLIDATED STATEMENT OF CASH FLOWS

| Operating activities | Notes | 6 months to 30 June 2019 Shs | 12 months to 31 December 2018 Shs | 6 months to 30 June 2018 Shs |
|---|---|---|---|---|
| Cash from operations | 20 | 217,298,036 | 118,444,075 | 15,106,044 |
| Interest paid | | - | (59,144,691) | (32,202,184) |
| Tax paid | | (6,692,010) | (36,286,675) | (6,931,535) |
| Net cash (used in)/from operating activities | | 210,606,026 | 23,012,709 | (24,027,675) |
| **Investing activities** | | | | |
| Purchase of property, plant and equipment | 12 | (33,809,765) | (52,324,182) | (31,151,049) |
| Purchase price for acquisition of subsidiary | | | | |
| Purchase of intangible assets | 14 | - | - | - |
| Proceeds from disposal of property, plant and equipment | | - | 1,829,490 | - |
| Interest received | | - | 83,969 | - |
| Net cash (used in) investing activities | | (33,809,765) | (50,410,723) | (31,151,049) |
| **Financing activities** | | | | |
| Net movement in borrowings | | (4,444,591) | 1,857,193 | 119,991,248 |
| Changes in restricted cash balances | 18 | - | - | - |
| **Net cash from/(used in) financing activities** | | **(4,444,591)** | **1,857,193** | **119,991,248** |
| Increase/(decrease) in cash and cash equivalents | | 172,351,670 | (25,540,821) | 64,812,524 |
| **Movement in cash and cash equivalents** | | | | |
| At start of period/year | | (279,042,725) | (252,215,397) | (252,215,397) |
| Increase/(decrease) | | 172,351,670 | (25,540,821) | 64,812,524 |
| Effect of exchange rate changes | | - | (1,286,507) | (2,411,803) |
| At end of period/year | 18 | (106,691,055) | (279,042,725) | (189,814,676) |

flame tree GROUP

**CONSOLIDATED STATEMENT OF CHANGES IN EQUITY**

| | Share capital Shs | Share premium Shs | Legal reserves* Shs | Retained earnings** Shs | Translation reserve*** Shs | Revaluation reserve*** Shs | Total equity Shs |
|---|---|---|---|---|---|---|---|
| **Year ended 31 December 2018** | | | | | | | |
| At start of year | 146,894,092 | 152,450,453 | 3,665,461 | 419,744,980 | 8,705,196 | - | 731,460,182 |
| Translation reserve movement | - | - | - | - | (12,847,892) | - | - (12,847,892) |
| IFRS 9 adjustment | - | - | - | (81,291,916) | - | - | - (81,291,916) |
| Revaluation for the year | - | - | - | - | - | 141,929,031 | - 141,929,031 |
| Profit for the year | - | - | - | 33,785,068 | - | - | - 33,785,068 |
| At end of year | 146,894,092 | 152,450,453 | 3,665,461 | 372,238,132 | (4,142,696) | 141,929,031 | 813,034,473 |
| **Period ended 30 June 2019** | | | | | | | |
| At start of period | 146,894,092 | 152,450,453 | 3,665,461 | 372,238,132 | (4,142,696) | 141,929,031 | 813,034,473 |
| Opening balance adjustment | | | | 47,329,149 | | | 47,329,149 |
| Changes in the legal reserve | | | 450,081 | | | | - 450,081 |
| Revaluation for the period | | | | | | 216,288,992 | - 216,288,992 |
| Translation reserve movement | - | - | - | - | 3,122,693 | - | 3,122,693 |
| Total comprehensive income for the period | - | - | - | 9,594,161 | - | - | 9,594,161 |
| At end of period | 146,894,092 | 152,450,453 | 4,115,542 | 429,161,442 | (1,020,003) | 358,218,023 | 1,089,819,549 |

For and on behalf of the Board

Chief Executive Officer
Heril Bangera